ICAI STUDY MATERIAL

CA Intermediate & Final Advanced Accounting

Accounting Standard 29: Provisions, Contingent Liabilities & Contingent Assets

Complete technical theory, recognition thresholds, measurement principles, and ICAI disclosure frameworks.

Standard Objective & Scope Framework

AS 29 (Issued 2003)

Core Objective

Ensures appropriate recognition criteria and measurement bases are applied to provisions, contingent liabilities, and contingent assets, supported by clear note disclosures.

Scope Exclusions

- Financial instruments carried at fair value.
- Executory contracts (unless onerous).
- Insurance contracts with policyholders.
- Items covered by other AS (AS 7, AS 15, AS 19, AS 22).

Fundamental Technical Definitions

Provision

A liability which can be measured only by using a substantial degree of estimation.

Liability

A present obligation arising from past events, settling which requires an outflow of economic benefits.

Obligating Event

An event that creates a legal or constructive obligation leaving no realistic alternative to settlement.

Recognition Criteria for Provisions

All three conditions must be satisfied simultaneously for recognition.

CONDITION 1

Present Obligation

Result of a past obligating event existing at the balance sheet date.

CONDITION 2

Probable Outflow

Outflow of economic resources is more likely than not (> 50% probability).

CONDITION 3

Reliable Estimate

Amount of obligation can be estimated reliably using standard methods.

Contingent Liabilities: Definition & Accounting

Two Definitions

- **Possible obligation:** Existence confirmed only by uncertain future events outside entity control.
- **Unrecognized present obligation:** Not recognized because outflow is not probable OR reliable estimate is impossible.

Accounting Treatment

- **Never Recognized:** Not recorded in financial statements.
- **Note Disclosure:** Disclosed in notes unless outflow possibility is remote.
- **Continuous Review:** Re-assessed each period for status changes.

Contingent Assets: Principles & Exception

General Rule (Prudence)

Contingent assets are **neither recognized nor disclosed** in financial statements to prevent recognizing unrealized income.

Board's Report Disclosure

If inflow of economic benefit is **probable**, it is disclosed in the Report of the Approving Authority (Board's Report).

Virtual Certainty Rule

When inflow becomes **virtually certain**, the asset and related income are recognized in financial statements.

Measurement Rules & Key Principles

Best Estimate

Amount recognized must be the best estimate of expenditure required to settle the present obligation at balance sheet date.

No Discounting

Under AS 29, provisions are **not discounted** to present value (unlike Ind AS 37), except where specifically mandated.

Risks & Uncertainties

Risks and uncertainties must be factored in; however, uncertainty does not justify creating excessive provisions.

Reimbursements & Specific Restrictions

Reimbursements

- Recognized only when **virtually certain** that reimbursement will be received.
- Treated as a separate asset, **capped at the provision amount**.
- In P&L, provision expense may be presented net of reimbursement.

Future Operating Losses

- Provisions shall **NOT** be recognized for future operating losses.
- Future operating losses do not meet definition of a liability or past obligating event.
- Indicates potential impairment of assets under AS 28.

Onerous Contracts & Restructuring Provisions

Onerous Contract

Contract where unavoidable costs of fulfilling obligation exceed expected economic benefits.

Provision Amount: Lower of cost of fulfilling contract OR penalties from failure to fulfill.

Restructuring Provisions

Recognized only when detailed formal plan exists and valid expectation is raised before balance sheet date.

Excludes: Retraining staff, marketing, or investment in new systems.

Decision Matrix: Provisions vs Contingencies

Parameter	Provision	Contingent Liability	Contingent Asset
Probability	Probable (> 50%)	Possible (< 50%)	Probable / Uncertain
Financial Treatment	**Recognized in B/S**	**Not Recognized**	**Not Recognized**
Disclosure Location	Financial Statements	Notes to Accounts	Board's Report
If Remote / Certain	N/A	No disclosure if remote	Recognized if virtually certain

Mandatory ICAI Disclosure Requirements

For Each Class of Provision

- Opening and closing carrying amounts.
- Additional provisions made & amounts used/reversed.
- Brief description of obligation nature & timing.

Prejudicial Exemption Clause

In extremely rare cases where disclosure can seriously prejudice entity position in disputes:

Full disclosures not required; must disclose general nature of dispute & reason for non-disclosure.

AS 29 Exam Quick Recall Summary

Provision

Present obligation + Probable outflow (>50%) + Reliable estimate.

Contingent Liability

Possible obligation OR present obligation not probable/estimable. Disclose in notes.

Contingent Asset

Ignore if possible; Board's report if probable; Asset in B/S if virtually certain.